NMLS SAFE MLO

Practice Exam A

SAFE Exam Difficulty Level

25 Questions | Answers, Explanations & 'Why Not' Analysis

Exam Date: May 22, 2026

EXAM INSTRUCTIONS: This exam is calibrated to ACTUAL NMLS SAFE exam difficulty. Answer choices are designed to be plausible — read carefully for words like EXCEPT, NOT, MOST, BEST, and PERMITTED. Time limit: 30 minutes. Score 19+ (75%) to pass this practice exam. Answer key with full explanations — including why wrong answers are wrong — begins after Question 25.

ANSWER GRID				
1. ___	2. ___	3. ___	4. ___	5. ___
6. ___	7. ___	8. ___	9. ___	10. ___
11. ___	12. ___	13. ___	14. ___	15. ___
16. ___	17. ___	18. ___	19. ___	20. ___
21. ___	22. ___	23. ___	24. ___	25. ___

EXAM A — QUESTIONS

[Federal Laws — RESPA Section 8]

1. An MLO receives a $50 gift card from a title company after referring three clients in one month. The MLO discloses the gift on the Closing Disclosure. Which statement BEST describes this situation?

A) It is permissible because the gift is under $100 and was disclosed.
B) It is permissible only if the MLO discloses the arrangement on both the LE and CD.
C) It violates RESPA Section 8 regardless of the dollar amount or disclosure.
D) It only violates RESPA if the MLO has a formal written referral agreement with the title company.

[Federal Laws — TILA / APR Tolerance]

2. A borrower receives a Closing Disclosure showing an APR of 6.875% on a standard fixed-rate loan. Just before closing, the lender discovers an omitted fee increases the true APR to 7.070%. What must the lender do?

A) Proceed to closing — the change is within the 1/4% irregular transaction tolerance.
B) Issue a corrected CD and wait 3 business days before consummation.
C) Issue a revised Loan Estimate and restart the full 7-business-day waiting period.
D) Proceed to closing — the 1/8% tolerance for regular loans covers this change.

[Federal Laws — ECOA Adverse Action]

3. A lender denies a loan application. Which of the following adverse action notice requirements is INCORRECT under ECOA?

A) The notice must be provided within 30 days of acting on a complete application.
B) The notice must state the specific reasons for the credit denial.
C) The borrower must request the adverse action notice in writing before the lender is obligated to provide it.
D) If a credit score was used in the decision, the score must be disclosed to the applicant.

[Federal Laws — HMDA]

4. Which of the following actions does HMDA specifically authorize when discriminatory lending patterns are identified in a lender's LAR data?

A) The CFPB may impose immediate civil money penalties on the lender for each discriminatory loan.
B) The state may revoke the lender's license to originate mortgage loans.
C) Regulators may use the data to initiate a targeted fair lending examination of the lender.
D) HUD may require the lender to implement a Community Reinvestment Plan for affected areas.

[Federal Laws — HOEPA]

5. Which of the following loan terms is PERMITTED on a high-cost mortgage under HOEPA?

A) A balloon payment due 5 years after consummation.
B) Negative amortization during the first 3 years of the loan.
C) A prepayment penalty equal to 2% of the outstanding balance if paid off within 24 months.
D) A fixed interest rate that does not adjust for the life of the loan.

[Federal Laws — GLB Safeguards Rule]

6. Under the Gramm-Leach-Bliley Safeguards Rule, when must a financial institution properly dispose of customer information?

A) Within 3 years from the date of the mortgage transaction.

B) Within 5 years from the date the account is closed.

C) Within 2 years after the customer last used the service.

D) Records must be retained indefinitely; disposal is optional.

[Federal Laws — ECOA vs. Fair Housing Act]

7. Which of the following is a protected class under the Fair Housing Act but is NOT protected under ECOA?

A) Sex

B) National origin

C) Familial status (families with children under 18)

D) Receipt of public assistance income

[General Mortgage — DTI Calculation]

8. A borrower has a gross monthly income of $8,500. Their proposed PITI payment is $2,125 and they have monthly obligations of $680 (car loan + credit cards). What is the back-end DTI, and would this borrower qualify under standard FHA guidelines?

A) Back-end DTI 25.0% — qualifies easily under FHA guidelines.

B) Back-end DTI 28.0% — qualifies under FHA's 28% front-end guideline.

C) Back-end DTI 33.0% — qualifies under FHA's 43% back-end guideline.

D) Back-end DTI 38.0% — marginally qualifies but may need compensating factors.

[General Mortgage — ARM Caps]

9. A 3/1 ARM has an initial rate of 5.50%, a cap structure of 2/2/6, and the current fully indexed rate at first adjustment is 9.25%. What rate applies at the first adjustment date?

A) 7.50% — limited by the 2% initial adjustment cap.

B) 9.25% — the fully indexed rate applies unrestricted at first adjustment.

C) 8.50% — lender rounds up to next 0.125% increment.

D) 11.50% — the lifetime cap rate from the initial rate.

[General Mortgage — LTV Calculation]

10. A borrower purchases a home listed at $385,000. The appraisal comes in at $375,000. The buyer makes a $55,000 down payment. What is the correct LTV for underwriting purposes?

A) 85.7% — calculated using the purchase price of $385,000.

B) 83.3% — calculated using the appraised value with a round loan amount.

C) 88.0% — calculated using the lesser of purchase price or appraised value.

D) 80.0% — no PMI is required because the down payment exceeds 20%.

[Loan Origination — LE Business Day Counting]

11. A borrower submits a complete loan application on Wednesday. Thursday is a federal holiday. By what day must the Loan Estimate be delivered, and what is the KEY rule about Saturdays?

A) Friday — only 2 business days are required; Saturdays count as 2 days.

B) Saturday — Saturdays count as business days for LE delivery.

C) The following Monday — Saturdays count, but the holiday delays Day 1 to Friday, making Monday Day 3.

D) The following Tuesday — the holiday adds a full extra day, and Saturdays don't count.

[Loan Origination — LE Tolerance Categories]

12. An MLO is reviewing a Loan Estimate for a conventional loan where the borrower chose a title insurance company NOT on the lender's approved list. At closing, the title company's fee is 15% higher than estimated. Which tolerance category applies, and is this a problem?

A) Zero tolerance — the lender must cover the 15% overage.

B) 10% tolerance — the lender must cover the overage since it exceeds 10%.

C) Unlimited tolerance — no cure is required because the borrower chose outside the lender's list.

D) 10% tolerance — the borrower must pay the difference because they chose the company.

[Loan Origination — Right of Rescission]

13. A couple refinances their primary home. The lender provides each spouse with one copy of the rescission notice at closing. Three days later, one spouse wants to rescind. The other spouse does not. What happens?

A) The loan stands because both owners must agree to rescind.

B) The refinance is rescinded because either owner can independently exercise the right.

C) The loan stands because only one copy of the notice was required per household.

D) The loan is rescinded but only the objecting spouse's interest is released.

[Loan Origination — Appraisal Independence]

14. An underwriter believes an appraisal value is inflated. The MLO calls the appraiser and says, 'We need this to come in at $450,000 or we'll have to find another appraiser for future deals.' This statement MOST likely violates:

A) RESPA Section 8 because it creates a coercive referral relationship.

B) FIRREA because it threatens the appraiser's USPAP compliance.

C) Dodd-Frank Section 1639e and Regulation Z's Valuation Independence Rule.

D) ECOA because it could result in disparate treatment of borrowers.

[Loan Origination — Servicing Transfer]

15. A borrower's loan was transferred to a new servicer on August 1. On August 7, not knowing about the transfer, the borrower sends their August payment to the old servicer. The new servicer learns of this on August 20 and sends a late fee notice. Which statement is CORRECT?

A) The late fee is valid — the borrower should have updated their payment records before the transfer.

B) The late fee is invalid — the borrower has a 60-day grace period and cannot be penalized for sending to the old servicer.

C) The late fee is invalid — but only if the borrower can show they sent payment before the 15-day notice period ended.

D) The late fee is valid — the 30-day grace period began on August 1 and the payment was sent on August 7.

[Ethics — Mortgage Fraud Types]

16. An MLO helps a couple purchase an investment property. To get a better interest rate, the MLO coaches them to indicate on the 1003 that it will be their primary residence, knowing they plan to rent it out. This BEST constitutes:

A) An acceptable origination strategy if the borrowers will eventually move into the property.

B) Occupancy fraud — a form of Fraud for Housing that may also implicate the MLO in Fraud for Profit.

C) A RESPA violation because the MLO received compensation on a fraudulent application.

D) A TILA disclosure error because the loan type is misrepresented on the Closing Disclosure.

[Ethics — UDAAP]

17. A mortgage company advertises: 'Rates as low as 2.99%!' in large print. In fine print too small to read easily, it states this rate is only available on 1-year ARMs with 50% LTV and 800+ credit scores. This MOST directly violates:

A) RESPA because the advertisement creates unfair competitive advantages over other lenders.

B) ECOA because it fails to disclose that rate availability is based on credit score.

C) TILA's MAP Rule (Regulation N) because the advertisement is deceptive about loan terms.

D) The Fair Housing Act because the 800+ credit score requirement has disparate impact.

[Ethics — Appraisal Independence]

18. Which of the following actions by an MLO would be PERMITTED under appraisal independence rules?

A) Selecting the appraiser because they have a consistent track record of hitting target values in the neighborhood.

B) After the appraisal is completed, asking the appraiser to reconsider by reviewing two additional comparable sales identified by the borrower.

C) Withholding the appraiser's payment until the review is complete and the value is confirmed acceptable.

D) Informing the appraiser that 'the deal needs to close at $450,000' before the inspection.

[SAFE Act — Registered vs. Licensed]

19. A loan originator employed by a federally chartered savings bank accepts a position at an independent mortgage brokerage. Regarding her NMLS status, which is MOST accurate?

A) She can immediately originate loans using her existing NMLS registration number.

B) She must apply for a state license but has no temporary origination authority.

C) She must complete 20 hours of pre-licensing education before she can apply for a state license.

D) She may have temporary authority to originate for up to 120 days while pursuing a state license.

[SAFE Act — License Bars]

20. An MLO applicant discloses that 4 years ago, she was convicted of felony tax evasion (not involving fraud or money laundering). She also discloses a 12-year-old felony conviction for aggravated assault. Which outcome is MOST likely?

A) Both convictions result in a permanent lifetime bar from licensure.

B) The tax evasion conviction creates a 7-year bar; the assault is outside the lookback and is not disqualifying.

C) Both convictions trigger a 7-year bar from the date of each conviction, making her ineligible due to the recent tax evasion.

D) Neither conviction bars licensure because neither involves fraud or money laundering.

[General Mortgage — QM ARM Qualifying]

21. An MLO originates a 3/1 ARM with an initial rate of 5.00% and a 2/2/6 cap structure as a QM loan. For ATR/DTI compliance, at which rate must the monthly payment be calculated?

A) 5.00% — the initial note rate because the loan is fixed for 3 years.

B) 6.50% — the fully indexed rate (index 4.00% + margin 2.50%).

C) 7.00% — the maximum rate possible in the first 5 years (initial rate + initial cap).

D) 11.00% — the lifetime cap rate (5.00% + 6.00%) to account for maximum risk.

[General Mortgage — PMI Cancellation]

22. A borrower closed a conventional loan in 2020 with 10% down on a $300,000 home. By 2026, the home has appreciated to $400,000 and the loan balance is $255,000. Under the Homeowners Protection Act, which statement is CORRECT?

A) PMI must be automatically cancelled because the balance dropped below 78% of the CURRENT $400,000 value.

B) PMI must be automatically cancelled because the original amortization schedule shows LTV is at 78% of ORIGINAL value.

C) The borrower can request PMI cancellation based on the current $400,000 appraised value, but automatic cancellation uses the original value.

D) PMI cannot be cancelled until the loan is refinanced because it was originated with less than 20% down.

[Federal Laws — FHA Credit Score / Down Payment]

23. A borrower with a 570 credit score wants to purchase a home using FHA financing with a 5% down payment. An MLO should advise that:

A) FHA will insure the loan with a 5% down payment — a 570 score is sufficient for standard FHA terms.

B) FHA requires a minimum 10% down payment for credit scores between 500-579.

C) FHA does not insure loans for borrowers with credit scores below 580 under any circumstances.

D) The borrower can overcome the credit score limitation with a non-occupant co-borrower and a 3.5% down payment.

[Federal Laws — RESPA AfBA]

24. A real estate brokerage owns a 20% interest in a title company. The brokerage routinely refers all buyers to the title company. Which condition is NECESSARY for this arrangement to comply with RESPA?

A) The title company must be established before the brokerage acquired its interest.

B) The disclosure must be made at the time of referral and the buyer cannot be required to use the title company.

C) The disclosure must be made at least 3 business days before closing on the Closing Disclosure.

D) The brokerage must not receive any income from the title company — only equity appreciation is permissible.

[General Mortgage — Conventional Conforming Limits]

25. A borrower in a high-cost area wants to borrow $850,000 on a single-family primary residence using a conventional loan. This loan would MOST likely be categorized as:

A) A conforming loan — the amount falls within all county limits.

B) A jumbo loan — because it exceeds the standard conforming limit of $766,550.

C) A high-cost conforming loan — eligible for purchase by Fannie Mae up to the applicable high-cost limit.

D) A non-QM loan — amounts above $766,550 cannot meet QM standards.

EXAM A — ANSWER KEY WITH FULL EXPLANATIONS

★ For each question: the CORRECT answer is explained first. Then 'WHY NOT' sections explain the tricky wrong answers — especially those that might seem correct or that would be correct if the question were asked differently.

1. An MLO receives a $50 gift card from a title company after referring three clients in one month. The MLO discloses the gift on the Closing Disclosure. Which statement BEST describes this situation?

✓ CORRECT: C) It violates RESPA Section 8 regardless of the dollar amount or disclosure.

RESPA Section 8(a) prohibits giving or receiving ANYTHING OF VALUE in exchange for a referral of a settlement service — there is no dollar threshold and disclosure does NOT cure the violation. The prohibition is absolute.

WHY NOT the other options:

A) There is no dollar minimum under RESPA Section 8 — even a free lunch can be a violation. Disclosure on the CD does not cure a kickback.

B) Disclosure on the LE and CD does not create an exemption. Section 8 violations cannot be 'fixed' by disclosure — the AfBA exemption is the only pathway, and it requires more than just disclosure.

D) A formal written agreement is NOT required for a violation. A single referral with any compensation — even informal — triggers Section 8.

---

2. A borrower receives a Closing Disclosure showing an APR of 6.875% on a standard fixed-rate loan. Just before closing, the lender discovers an omitted fee increases the true APR to 7.070%. What must the lender do?

✓ CORRECT: B) Issue a corrected CD and wait 3 business days before consummation.

The APR increased by 0.195% (6.875% to 7.070%), which exceeds the 1/8% (0.125%) tolerance for a regular fixed-rate transaction. When this tolerance is exceeded, a corrected Closing Disclosure must be issued and a new 3-business-day waiting period begins.

WHY NOT the other options:

A) The 1/4% (0.25%) tolerance applies to IRREGULAR transactions (variable-rate, non-standard), not standard fixed-rate loans. This is a regular transaction, so only 1/8% tolerance applies.

C) A corrected CD, not a revised LE, is the correct document after consummation is imminent. The 7-business-day waiting period applies to the original LE issuance — not to CD corrections.

D) While 1/8% IS the correct tolerance for regular loans, the change here (0.195%) EXCEEDS that threshold, so the lender cannot proceed — this option incorrectly states the APR is within tolerance.

---

3. A lender denies a loan application. Which of the following adverse action notice requirements is INCORRECT under ECOA?

✓ CORRECT: C) The borrower must request the adverse action notice in writing before the lender is obligated to provide it.

ECOA requires adverse action notices to be sent AUTOMATICALLY — the applicant does not need to request one. The lender has an affirmative obligation to provide the notice within 30 days of taking action on a complete application.

WHY NOT the other options:

A) 30 days is the correct timeframe — this is accurate, so it cannot be the incorrect statement.

B) Specific reasons ARE required — a general statement like 'credit history' is insufficient. This is correct ECOA law.

D) Credit score disclosure is required by FCRA and incorporated into ECOA adverse action notices — this is also correct.

---

4. Which of the following actions does HMDA specifically authorize when discriminatory lending patterns are identified in a lender's LAR data?

✓ CORRECT: C) Regulators may use the data to initiate a targeted fair lending examination of the lender.

HMDA requires data collection and public disclosure — its purpose is to enable identification of discriminatory lending patterns for further examination. HMDA itself contains no penalty mechanism, license revocation authority, or CRA enforcement tool.

WHY NOT the other options:

A) HMDA does not authorize civil money penalties for lending discrimination — ECOA and the Fair Housing Act are the enforcement statutes. HMDA data is only the detection tool.

B) License revocation is a state regulatory action governed by state law and the SAFE Act — not triggered directly by HMDA data.

D) Community Reinvestment Act (CRA) plans are a separate statutory framework. HMDA does not require or authorize CRA compliance plans.

---

5. Which of the following loan terms is PERMITTED on a high-cost mortgage under HOEPA?

✓ CORRECT: D) A fixed interest rate that does not adjust for the life of the loan.

A fixed interest rate is always permissible on any type of mortgage loan, including HOEPA high-cost mortgages. HOEPA prohibits balloon payments, negative amortization, and prepayment penalties — but not fixed rates.

WHY NOT the other options:

A) Balloon payments are specifically PROHIBITED on HOEPA high-cost mortgages (with limited exceptions for certain short-term bridge loans). This is one of HOEPA's core prohibitions.

B) Negative amortization is PROHIBITED on high-cost mortgages. HOEPA specifically bans any feature that causes the principal balance to increase.

C) Prepayment penalties are PROHIBITED on HOEPA high-cost mortgages under the Dodd-Frank amendments. Any prepayment penalty — regardless of timing or amount — is banned.

---

6. Under the Gramm-Leach-Bliley Safeguards Rule, when must a financial institution properly dispose of customer information?

✓ CORRECT: C) Within 2 years after the customer last used the service.

The GLB Safeguards Rule requires financial institutions to properly dispose of customer non-public personal information (NPI) within 2 years after the customer's last use of the service. Proper disposal means shredding, burning, or electronic destruction.

WHY NOT the other options:

A) 3 years is the TILA record retention period for loan disclosures — not the GLB disposal deadline.

B) 5 years is associated with HMDA LAR and RESPA settlement statement retention, not GLB disposal.

D) Indefinite retention without disposal is a GLB violation. The rule specifically requires proper disposal to prevent unauthorized access.

---

7. Which of the following is a protected class under the Fair Housing Act but is NOT protected under ECOA?

✓ CORRECT: C) Familial status (families with children under 18)

Familial status (families with children under 18, pregnant women) was added to the Fair Housing Act in 1988 but is NOT an ECOA protected class. ECOA and FHA have overlapping but different protected classes.

WHY NOT the other options:

A) Sex is protected under BOTH ECOA and the Fair Housing Act — not the answer.

B) National origin is protected under BOTH statutes — not the answer.

D) Receipt of public assistance income IS an ECOA protected class (not FHA). The question asks what FHA has that ECOA doesn't — this is the reverse.

---

8. A borrower has a gross monthly income of $8,500. Their proposed PITI payment is $2,125 and they have monthly obligations of $680 (car loan + credit cards). What is the back-end DTI, and would this borrower qualify under standard FHA guidelines?

✓ CORRECT: C) Back-end DTI 33.0% — qualifies under FHA's 43% back-end guideline.

Back-end DTI = (PITI + all monthly debts) ÷ gross income = ($2,125 + $680) ÷ $8,500 = $2,805 ÷ $8,500 = 33.0%. This is well under FHA's 43% back-end guideline and would qualify.

WHY NOT the other options:

A) 25.0% is the FRONT-END DTI ($2,125 ÷ $8,500 = 25%). Front-end only includes housing costs — it excludes the $680 in other monthly debts.

B) 28% has no mathematical basis here. It's a common FHA front-end benchmark (31% is FHA's front-end guideline), making it a plausible-sounding distractor.

D) 38.0% would require total monthly debts of $3,230 ($8,500 × 38%). The correct total is $2,805.

---

9. A 3/1 ARM has an initial rate of 5.50%, a cap structure of 2/2/6, and the current fully indexed rate at first adjustment is 9.25%. What rate applies at the first adjustment date?

✓ CORRECT: A) 7.50% — limited by the 2% initial adjustment cap.

The initial adjustment cap is 2%, meaning the rate can increase by no more than 2% at the first adjustment regardless of the fully indexed rate. 5.50% + 2.00% = 7.50%. The fully indexed rate of 9.25% exceeds this cap.

WHY NOT the other options:

B) The fully indexed rate ONLY applies if it's within the cap. Here 9.25% would require a 3.75% jump from 5.50% — which exceeds the 2% initial cap. Caps always override the fully indexed rate when lower.

C) Rounding conventions exist, but this doesn't apply here — 7.50% is already on a 0.125% increment and is the cap-limited rate.

D) 11.50% is the lifetime maximum rate (5.50% + 6.00% lifetime cap), not the rate at the first adjustment. You reach the lifetime cap through successive adjustments, not all at once.

---

10. A borrower purchases a home listed at $385,000. The appraisal comes in at $375,000. The buyer makes a $55,000 down payment. What is the correct LTV for underwriting purposes?

✓ CORRECT: C) 88.0% — calculated using the lesser of purchase price or appraised value.

LTV uses the LESSER of purchase price or appraised value. Here, $375,000 (appraised) < $385,000 (purchase). Loan amount = $385,000 – $55,000 = $330,000. LTV = $330,000 ÷ $375,000 = 88.0%. PMI is required.

WHY NOT the other options:

A) 85.7% uses the purchase price ($330,000 ÷ $385,000). The rule requires using the LESSER value — the appraisal is lower, so it must be used.

B) 83.3% has no mathematical basis in this problem — it's a distractor designed to look reasonable.

D) The down payment of $55,000 is 14.3% of the $385,000 purchase price — not 20%. PMI is required at 88.0% LTV.

---

11. A borrower submits a complete loan application on Wednesday. Thursday is a federal holiday. By what day must the Loan Estimate be delivered, and what is the KEY rule about Saturdays?

✓ CORRECT: C) The following Monday — Saturdays count, but the holiday delays Day 1 to Friday, making Monday Day 3.

For the Loan Estimate, 'business day' means all calendar days EXCEPT Sundays and federal public holidays — Saturdays DO count. Application Wednesday, Day 1 = Thursday is a holiday (excluded), so Day 1 = Friday, Day 2 = Saturday, Day 3 = Monday. LE is due by Monday (end of business). The key distinction: Saturday counts for TRID disclosures.

WHY NOT the other options:

A) The requirement is 3 business days — not 2. And Friday is only Day 1 (with Thursday excluded as a holiday).

B) Saturday IS a business day for LE purposes, but it's Day 2 — not the 3rd day needed for the deadline.

D) Saturdays DO count under TRID's definition of business day. Not counting Saturday pushes the deadline out one extra day unnecessarily.

---

12. An MLO is reviewing a Loan Estimate for a conventional loan where the borrower chose a title insurance company NOT on the lender's approved list. At closing, the title company's fee is 15% higher than estimated. Which tolerance category applies, and is this a problem?

✓ CORRECT: C) Unlimited tolerance — no cure is required because the borrower chose outside the lender's list.

When a borrower selects a settlement service provider that is NOT on the lender's written list of providers, those fees fall in the UNLIMITED TOLERANCE category. The fee can increase by any amount without triggering a lender cure obligation.

WHY NOT the other options:

A) Zero tolerance applies to lender charges, transfer taxes, and fees for required services where the borrower cannot shop. Title chosen outside the list is unlimited tolerance.

B) 10% aggregate tolerance applies to services on the lender's approved list, not services the borrower chose independently outside the list.

D) The 10% category applies specifically to services on the lender's list — not to providers chosen outside the list. The borrower chose outside, so unlimited tolerance applies.

---

13. A couple refinances their primary home. The lender provides each spouse with one copy of the rescission notice at closing. Three days later, one spouse wants to rescind. The other spouse does not. What happens?

✓ CORRECT: B) The refinance is rescinded because either owner can independently exercise the right.

Under TILA, each owner of the property has an INDEPENDENT right of rescission. Any one owner can exercise the right to rescind, and rescission by one rescinds the entire transaction — even if the other owner disagrees.

WHY NOT the other options:

A) This is the most common wrong answer — unanimity is NOT required. The right belongs to each owner individually. One owner's rescission voids the loan for all.

C) The lender was actually deficient — TILA requires 2 copies per owner. For a couple, 4 total copies (2 per person) must be provided. Only giving one each is technically a deficiency.

D) Rescission is not divisible by ownership interest — it resccinds the entire transaction, not just one person's share.

---

14. An underwriter believes an appraisal value is inflated. The MLO calls the appraiser and says, 'We need this to come in at $450,000 or we'll have to find another appraiser for future deals.' This statement MOST likely violates:

✓ CORRECT: C) Dodd-Frank Section 1639e and Regulation Z's Valuation Independence Rule.

Dodd-Frank §1639e and Reg Z §1026.42 (Valuation Independence Rule) specifically prohibit coercing, threatening, or bribing an appraiser, and conditioning future work on delivering a desired value. This statement is a direct violation.

WHY NOT the other options:

A) RESPA Section 8 covers kickbacks for settlement service referrals between parties. Coercing an appraiser is an appraisal independence violation, not a RESPA Section 8 violation.

B) FIRREA established USPAP standards and state appraiser licensing — it's the foundation, but the specific prohibition on lender coercion of appraisers comes from Dodd-Frank §1639e. FIRREA doesn't directly govern lender-appraiser communications.

D) ECOA covers discrimination against loan applicants based on protected class — it does not govern appraiser coercion.

---

15. A borrower's loan was transferred to a new servicer on August 1. On August 7, not knowing about the transfer, the borrower sends their August payment to the old servicer. The new servicer learns of this on August 20 and sends a late fee notice. Which statement is CORRECT?

✓ CORRECT: B) The late fee is invalid — the borrower has a 60-day grace period and cannot be penalized for sending to the old servicer.

RESPA provides a 60-day grace period following a servicing transfer. During this period, the new servicer CANNOT impose a late fee or report adverse credit information if the borrower sent payment to the old servicer. This protection exists precisely because borrowers may not know about the transfer.

WHY NOT the other options:

A) The 60-day grace period was created specifically to protect borrowers in this scenario. The burden is not on the borrower to update records instantaneously.

C) The grace period is 60 days from the transfer date — it's not conditioned on whether the 15-day advance notice was sent or received.

D) The grace period is 60 DAYS, not 30 days. The payment sent on August 7 (6 days after transfer) is clearly within the 60-day window.

---

16. An MLO helps a couple purchase an investment property. To get a better interest rate, the MLO coaches them to indicate on the 1003 that it will be their primary residence, knowing they plan to rent it out. This BEST constitutes:

✓ CORRECT: B) Occupancy fraud — a form of Fraud for Housing that may also implicate the MLO in Fraud for Profit.

Misrepresenting occupancy intent on a loan application is occupancy fraud. When an MLO coaches the borrower to lie, the MLO moves from a passive party into active participation — potentially making this Fraud for Profit (industry insider involvement), which is a federal crime under 18 U.S.C. §1014.

WHY NOT the other options:

A) Future intent to move in does not make the misrepresentation acceptable. The representation on the application must be true AT THE TIME of application.

C) While fraud on a loan application is more serious than a RESPA violation, the primary characterization is mortgage fraud. RESPA Section 8 covers kickbacks for referrals, not occupancy misrepresentation.

D) This isn't a disclosure error — it's intentional misrepresentation on the application, which is fraud. The Closing Disclosure accurately reflects the loan terms.

---

17. A mortgage company advertises: 'Rates as low as 2.99%!' in large print. In fine print too small to read easily, it states this rate is only available on 1-year ARMs with 50% LTV and 800+ credit scores. This MOST directly violates:

✓ CORRECT: C) TILA's MAP Rule (Regulation N) because the advertisement is deceptive about loan terms.

The MAP Rule (Mortgage Acts and Practices — Regulation N) prohibits deceptive acts in mortgage advertising. Advertising a rate available only under extreme conditions while burying material limitations is deceptive under the MAP Rule and CFPB's UDAAP authority.

WHY NOT the other options:

A) RESPA Section 8 governs kickbacks and fee splitting in settlement services — not advertising practices. Competitive disadvantage is not a RESPA concept.

B) ECOA governs discrimination in credit decisions, not advertising content. Rate availability based on credit score is a legitimate risk-based distinction.

D) While a disparate impact argument could theoretically be constructed, the MOST DIRECT violation is the deceptive advertising under the MAP Rule.

---

18. Which of the following actions by an MLO would be PERMITTED under appraisal independence rules?

✓ CORRECT: B) After the appraisal is completed, asking the appraiser to reconsider by reviewing two additional comparable sales identified by the borrower.

Asking an appraiser to review additional comparable sales is EXPLICITLY PERMITTED under Reg Z §1026.42. The MLO may provide new data for the appraiser's independent consideration — the appraiser can then accept or reject the comparables based on their professional judgment.

WHY NOT the other options:

A) Selecting appraisers based on their tendency to hit target values is a form of steering that violates appraisal independence. This creates an implicit incentive to inflate values.

C) Conditioning payment on a favorable value review is prohibited — it creates financial pressure to deliver a preferred result. Appraisers must be paid for their work regardless of the value conclusion.

D) Telling an appraiser the 'needed' value before inspection is direct coercion — one of the most clearly prohibited actions under Dodd-Frank §1639e.

---

19. A loan originator employed by a federally chartered savings bank accepts a position at an independent mortgage brokerage. Regarding her NMLS status, which is MOST accurate?

✓ CORRECT: D) She may have temporary authority to originate for up to 120 days while pursuing a state license.

Under EGRRCPA §106, a registered MLO (depository institution employee) transitioning to a state-licensed position has temporary authority to originate for up to 120 days while pursuing a state license. This transitional licensing prevents gaps in service.

WHY NOT the other options:

A) NMLS registration is specific to depository institution employees under Regulation G. It is NOT a state license and cannot be used to originate loans at a non-depository entity.

B) Transitional licensing DOES provide temporary origination authority during the licensing process — she is not without authority.

C) Pre-licensing education requirements may be waived or reduced for registered MLOs transitioning to state licensing, and transitional authority allows her to originate while completing any required education.

---

20. An MLO applicant discloses that 4 years ago, she was convicted of felony tax evasion (not involving fraud or money laundering). She also discloses a 12-year-old felony conviction for aggravated assault. Which outcome is MOST likely?

✓ CORRECT: C) Both convictions trigger a 7-year bar from the date of each conviction, making her ineligible due to the recent tax evasion.

The 7-year bar applies to felony convictions NOT involving fraud/dishonesty/breach of trust/money laundering — measured from the conviction date. Tax evasion (4 years ago) falls within the 7-year window, creating a bar. Aggravated assault (12 years ago) is outside the 7-year lookback and not a permanent bar, so it is not disqualifying on its own.

WHY NOT the other options:

A) The permanent/lifetime bar ONLY applies to felonies involving fraud, dishonesty, breach of trust, or money laundering. Tax evasion and assault don't automatically create lifetime bars.

B) While assault is outside the lookback, the tax evasion conviction 4 years ago IS within the 7-year lookback period — so she is barred due to the recent conviction.

D) The 7-year bar applies to ALL felonies — not just fraud-related ones. Tax evasion 4 years ago triggers the 7-year bar even though it doesn't trigger the lifetime bar.

---

21. An MLO originates a 3/1 ARM with an initial rate of 5.00% and a 2/2/6 cap structure as a QM loan. For ATR/DTI compliance, at which rate must the monthly payment be calculated?

✓ CORRECT: C) 7.00% — the maximum rate possible in the first 5 years (initial rate + initial cap).

For QM ARM loans, the ATR/DTI test payment must be calculated at the MAXIMUM RATE that could apply during the first 5 years of the loan. For this 3/1 ARM: the rate can adjust at year 3 by up to 2% (initial cap), so maximum in first 5 years = 5.00% + 2.00% = 7.00%.

WHY NOT the other options:

A) Using only the initial rate ignores that the rate can increase significantly at the first adjustment in year 3 — still within the 5-year window.

B) The fully indexed rate is used for non-QM loan qualifying over the entire term. For QM ARMs, use the max rate in the first 5 years — which here (7.00%) exceeds the fully indexed rate (6.50%).

D) The lifetime cap is used for non-QM loans to calculate ability to repay over the ENTIRE term — not the QM 5-year test. If 11% were used for a QM, almost no borrower would qualify.

---

22. A borrower closed a conventional loan in 2020 with 10% down on a $300,000 home. By 2026, the home has appreciated to $400,000 and the loan balance is $255,000. Under the Homeowners Protection Act, which statement is CORRECT?

✓ CORRECT: C) The borrower can request PMI cancellation based on the current $400,000 appraised value, but automatic cancellation uses the original value.

HPA has two distinct rules: (1) AUTOMATIC cancellation occurs when LTV reaches 78% of the ORIGINAL value per the original amortization schedule; (2) REQUESTED cancellation: borrowers can request removal when LTV reaches 80% of original value — OR lenders may accept a current appraisal for early cancellation. Here, $255,000 ÷ $300,000 = 85% LTV (original) — not yet 78% automatic. But the borrower CAN request using the current $400,000 value ($255,000 ÷ $400,000 = 63.75% LTV).

WHY NOT the other options:

A) Automatic cancellation uses ORIGINAL value, not current market value. Using the current appraised value is only for REQUESTED cancellation.

B) $255,000 ÷ $300,000 original value = 85% LTV — not yet 78%. Automatic cancellation hasn't triggered yet on the original amortization.

D) PMI absolutely CAN be cancelled before the loan is paid off — either through amortization (78% original value) or refinancing. The HPA exists precisely for this purpose.

---

23. A borrower with a 570 credit score wants to purchase a home using FHA financing with a 5% down payment. An MLO should advise that:

✓ CORRECT: B) FHA requires a minimum 10% down payment for credit scores between 500-579.

FHA's credit score matrix: 580+ credit score = minimum 3.5% down payment; 500-579 credit score = minimum 10% down payment; below 500 = not eligible for FHA. A 570 score requires 10% down — the borrower's 5% is insufficient.

WHY NOT the other options:

A) 5% down is not sufficient for a 570 credit score. FHA requires 10% for scores between 500-579.

C) FHA does insure loans for borrowers with scores as low as 500 — but ONLY with 10% down. Scores below 500 are not eligible.

D) Non-occupant co-borrowers ARE permitted on FHA loans, but they do not override the minimum down payment requirements based on the primary borrower's credit score. The 10% minimum still applies.

---

24. A real estate brokerage owns a 20% interest in a title company. The brokerage routinely refers all buyers to the title company. Which condition is NECESSARY for this arrangement to comply with RESPA?

✓ CORRECT: B) The disclosure must be made at the time of referral and the buyer cannot be required to use the title company.

An Affiliated Business Arrangement (AfBA) is permitted under RESPA Section 8(c)(4) ONLY if: (1) the relationship is disclosed to the consumer IN WRITING at the TIME OF REFERRAL, (2) the consumer is NOT REQUIRED to use the affiliated provider, and (3) the only thing received is a return on the ownership interest (not a per-referral fee).

WHY NOT the other options:

A) The timing of when the brokerage acquired its interest is not a RESPA condition. What matters is the disclosure and non-requirement at time of referral.

C) Disclosure must be at TIME OF REFERRAL — not 3 days before closing. By closing, it's too late for the consumer to make an informed decision about whether to use the affiliated service.

D) Income from the ownership interest IS permissible — that's the whole point of the AfBA exemption. What's prohibited is a per-referral fee paid on top of the equity interest.

---

25. A borrower in a high-cost area wants to borrow $850,000 on a single-family primary residence using a conventional loan. This loan would MOST likely be categorized as:

✓ CORRECT: C) A high-cost conforming loan — eligible for purchase by Fannie Mae up to the applicable high-cost limit.

Fannie Mae and Freddie Mac have HIGH-COST CONFORMING limits in designated high-cost areas that can go up to $1,149,825 (2024). An $850,000 loan in such an area remains conforming and GSE-eligible — it's neither jumbo nor non-QM just because it exceeds the baseline limit.

WHY NOT the other options:

A) The STANDARD conforming limit is $766,550 for 2024. The answer requires understanding that the limit is HIGHER in high-cost areas — it's not a standard conforming loan.

B) Jumbo means it EXCEEDS the applicable limit for that county. In a designated high-cost area with a limit up to $1,149,825, $850,000 IS within conforming limits.

D) Loan amount alone doesn't determine QM status. QM is based on ATR compliance, DTI, loan terms, and points/fees — not whether the amount exceeds the baseline conforming limit.

SCORE	RESULT	WHAT TO DO
22-25 correct	**PASS ✓**	Excellent! Focus on any missed topics.
19-21 correct	**BORDERLINE**	Review all incorrect + missed topics in study notes.
0-18 correct	**NEEDS WORK**	Re-read relevant sections and retake.